

INTERNAL AUDIT REPORT

Procurement Compliance Audit | Report No. AR-02337

Report ID:	AR-02337
Audit Type:	Procurement Compliance Audit
Report Date:	January 03, 2026
Audit Period:	2025-05-07 to 2025-12-06
Lead Auditor:	Jeffrey Collins (EMP-73284)
Reviewed By:	William French (EMP-17860)
Primary Vendor Reference:	RapidCore Consulting Group (VND-04494)
Subject Employee Reference:	Mark Clark (EMP-27255)
Primary Transaction Reference:	TXN-C449690446
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This procurement compliance audit covered the period 2025-05-07 to 2025-12-06 and examined transactions, approvals, and compliance records associated with vendor RapidCore Consulting Group (VND-04494) and employee Mark Clark (EMP-27255). The audit identified 2 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C449690446 (amount 636,710.53 CAD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-002045	MEDIUM	APPROVAL LIMIT	Payment of \$434,050 approved at Level 1, which has a limit of \$500,000. Transaction exceeded limit by \$12,919.
FND-002061	MEDIUM	POLICY BREACH	Expense claim of \$161,769 for Marketing exceeds the policy maximum of \$100,000. Overage: \$48,751.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-007293	TRANSACTION RECORD	EVD-UJB-0484	0.62
EVI-008118	DNS LOG	EVD-RSA-7421	0.61
EVI-015416	EXPENSE CLAIM	EVD-PAZ-5754	0.77
EVI-019797	TRANSACTION RECORD	EVD-CGB-9665	0.73

5. RECOMMENDATIONS

- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.
- Strengthen segregation of duties between transaction initiation and approval functions.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Jeffrey Collins	EMP-73284	2026-01-03
Reviewing Officer	William French	EMP-17860	2026-01-05